KAPCHORUA TEA KENYA PLC

AUDITED RESULTS FOR THE YEAR ENDED 31ST MARCH 2018

Website: www.williamsontea.com

STATEMENT OF COMPREHENSIVE INCOME

	31.03.2018 Kshs'000	31.03.2017 Kshs'000
Turnover	**1,429,341**	**1,292,123**
(Loss)/profit from operations before tax	214,165	(136,968)
Increase in fair value of biological assets	48,067	59,791
Finance income	(4,994)	4,855
(Loss)/profit before taxation	257,238	(72,323)
Tax Credit/ (charge)	(90,833)	20,554
(Loss)/profit for the year	**166,405**	**(51,769)**
Comprising:		
(Loss)/profit arising from operating activities	132,757	(93,621)
Profit arising from changes in fair value of biological assets	33,647	41,853
	166,405	**(51,769)**
Issued Shares of Kshs 5 each	7,824,000	7,824,000
(Loss)/earnings per share (Kshs)	21.27	(6.62)

STATEMENT OF FINANCIAL POSITION

	31.03.2018 Kshs'000	31.03.2017 Kshs'000
ASSETS		
Non - current assets		
Property , Plant and Equipment	1,024,462	922,104
Prepaid Operating Lease Rentals	21,573	21,597
Intangible Assets	808	1,008
Investments	717	717
Biological Assets	344,851	296,181
	1,392,411	1,241,607
Current Assets		
Unharvested Green leaf	11,554	7,883
Inventories	169,567	138,351
Trade and other receivables	767,474	427,311
Due from related companies	6,076	2,852
Tax Recoverable	-	27,052
Fixed Deposits	-	53,179
Bank & Cash	141,961	132,076
	1,096,632	788,704
Total Assets	**2,489,043**	**2,030,311**
EQUITY AND LIABILITIES		
Capital and reserves		
Share Capital	39,120	39,120
Revaluation reserves	281,830	179,798
Revenue Reserves	1,350,669	1,196,584
Shareholders' funds	1,671,619	1,415,502
Non - current Liabilities		
Deferred Taxation	310,417	248,832
Provision for service gratuity	131,408	138,209
	441,825	387,041
Current Liabilities		
Trade and other payables	270,742	215,007
Due to related companies	57,281	11,740
Corporate tax payable	46,679	-
Dividends Payable	897	1,021
	375,599	227,768
Total equity and liabilities	**2,489,043**	**2,030,311**
	-	-

STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves: Biological Assets gains/(losses) Kshs'000	Revenue Reserves: Other Kshs'000	Revenue Reserves: Total Kshs'000	Total Kshs'000
Balance at 1 April 2016	39,120	194,188	444,192	836,715	1,280,907	1,514,215
Total comprehensive income/(loss) for the year			41,854	(93,623)	(51,769)	(51,769)
Transfer of excess depreciation		(20,557)	-	20,557	20,557	-
Deferred tax on excess depreciation		6,167	-	(6,167)	(6,167)	-
Dividend declared-2016			-	(46,944)	(46,944)	(46,944)
				-	-	-
Balance at 31 March 2017	**39,120**	**179,798**	**486,046**	**710,538**	**1,196,584**	**1,415,502**
As at 1 April 2017	39,120	179,798	486,046	710,538	1,196,584	1,415,502
Profit for the year	-	-	33,647	132,758	166,405	166,405
Other comprehensive income for the year		113,184	-	-	-	113,184
Excess depreciation transfer		(15,932)		15,932	15,932	-
Deferred tax on excess depreciation		4,780		(4,780)	(4,780)	-
Dividend declared-2017				(23,472)	(23,472)	(23,472)
			-	-	-	-
		-	-	-	-	-
				-	-	-
Balance at 31 March 2018	**39,120**	**281,830**	**519,693**	**830,976**	**1,350,669**	**1,671,619**

STATEMENT OF CASH FLOWS

	31.03.2018 Kshs'000	31.03.2017 Kshs'000
Operating activities		
Cash generated from operations	30,729	264,641
Interest received	5,485	4,019
Interest paid	(828)	(244)
Tax Paid	(4,025)	(104,520)
	31,361	**163,896**
Investing activities		
Purchase of plant and equipment	(55,424)	(47,702)
Purchase of intangible assets	(286)	(865)
Proceeds from disposal of Plant and Equipmer	6,671	1,335
Dividends received	363	460
Expenditure on biological assets	(2,383)	(5,429)
	(51,059)	**(52,201)**
Financing activities		
Dividends paid	(23,596)	(46,612)
	(23,596)	**(46,612)**
Increase in cash and cash equivalents	**(43,294)**	**65,083**
Movement in cash and cash equivalents		
At 1 April	185,255	120,172
Increase	(43,294)	65,083
At 31 March	**141,961**	**185,255**

COMMENTARY ON THE RESULTS

Good results were due to high crop volume as a result of favorable weather and improved prices for the better part of the financial year.

DIVIDEND

The recommended final dividend of Kshs.10, subject to shareholders' approval, will accrue to the members on the register at the close of business on 21st September 2018. Therefore, the register will remain closed from 24th to 26th September 2018,both days inclusive.

PROSPECTS

Crops are currently high, and prices have fallen steadily from the year end. However, prolonged rain has come with lower temperatures. Thoughts of a bumper year of harvest are probably inaccurate and we can look forward with some cautious optimism that global demand for decent teas will not collapse.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the SIXTY NINTH ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Monday 24th September 2018 at 10.00am for the following purpose:

Ordinary Business:

1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2018.
2) To declare a dividend.
3) To elect Directors:

i) In accordance with Article 108 of the Company's Articles of Association, Mr. Edward Charles Magor retires by rotation and offers himself for re-election.
ii) In accordance with Article 108 of the Company's Articles of Association, Mr.Philip Magor retires by rotation and offers himself for re-election.

4) To approve the remuneration of the Directors.
5) To note that Deloitte & Touche continue in office and to authorise the Directors to agree their remuneration.
6) To transact such other business as may be brought before the meeting.

G K MASAKI
COMPANY SECRETARY

TUESDAY, JULY 31 2018

SUMMARY OF KEY AUDIT MATTER

The auditors' report on the financial statements includes the following key audit matter: Valuation and measurement of biological assets.

BASIS OF PREPARATION OF SUMMARISED FINANCIAL STATEMENTS

The summarised financial statements have been prepared in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

INDEPENDENT AUDITORS' REPORT ON THE SUMMARISED FINANCIAL STATEMENTS

TO THE SHAREHOLDERS OF KAPCHORUA TEA KENYA PLC

Opinion

The accompanying summarised consolidated financial statements of Kapchorua Tea Kenya Plc , which comprise the summarised statement of financial position as at 31 March 2018, the summarised statement of profit or loss and other comprehensive income, the summarised changes in equity and the summarised statement of cash flows for the year ended, are derived from the audited financial statements for the year ended 31 March 2018.

In our opinion, the accompanying summarised financial statements are consistent, in all material respects, with the audited financial statements of the company, in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 (''the Regulations'') as applicable to summary financial statements.

Summarised financial Statements

The summarised financial statements do not contain all the disclosures required by the International Financial Reporting Standards as applicable to annual financial statements. Reading the summarised financial statements and the auditors' report thereon, therefore, is not a substitute for reading the audited financial statements of the company and the auditors' report thereon.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated 31 July 2018 . That report also includes:
The communication of other key audit matters as reported in the auditors' report on the audited company financial statements. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the company financial statements of the current period.

Directors' responsibility for the summarised financial statements

The Directors are responsible for the preparation of the summarised financial statements in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

Auditors' responsibility

Our responsibility is to express an opinion on whether the summarised financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to Report on Summary Financial Statements.*

The engagement partner responsible for the audit resulting in this independent auditors' report is *CPA F. Okwiri - P/No 1699.*

Deloitte & Touche
Certified Public Accountants (Kenya)
Nairobi, Kenya
31 July 2018

The above extract is based on the Financial Statements of Kapchorua Tea Kenya PLC for the year ended 31 March 2018 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Company's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com